

46 per cent interest for two- or three-day loans. Banks were also refusing to accept the Certificates of Deposit (CDs) of private banks as collateral for loans. RBI had to intervene with an emergency lending window at concessional rates, and the finance ministry had to prevail on banks to lend money to mutual funds at reasonable rates and to accept CDs of private banks as collateral.

Another notable incident in October was the near run on ICICI Bank, which became the centre of nasty rumours following the demise of Lehman Brothers. The stock tanked from Rs 450 to Rs 305 in three trading sessions on market chatter that its foreign subsidiaries had suffered massive losses as a result of a sizeable exposure to securities issued by Lehman Brothers. I have little doubt that the rumour was a well-planned operation by a cartel, which hoped to profit from an ensuing crash in the stock price.

The overall environment was such that people were willing to believe the worst. And a falling stock price would definitely lend credibility to the tittle-tattle that something was wrong with the bank. As speculation about the bank's financial health spread, panicky investors lined up at ICICI Bank branches to withdraw their money. This was the second time that ICICI Bank had to face such a situation, the first time being in April 2003, when its branches in south Gujarat faced massive withdrawals.

I was tempted to join the mob in bashing the stock when I first heard the rumours, but checked myself. If I decided to go short on the stock, the size of my position would have to be big enough to give me a decent profit. Inevitably, there would be a probe later on, and all the big sellers would be investigated. I would then have to waste time explaining to investigators that there were no ulterior motives behind my trade. I decided it was not worth the headache that was likely to follow.

I had an unbelievable winning streak right from January all the way till April. My performance the following months, up to September, was average, as I lost money on some positions betting on a rebound. But then, one can never be right all the time, and I was perfectly content to yield to the law of averages without my ego getting in the way.

Most of the stocks I had shorted were purely my own calls. Then there were stocks in which I traded as part of a group – hunting for prey in packs, as I loved to call it. Our favourite targets were stocks in which promoters themselves were known to dabble heavily. The strategy was simple; together we would hammer the prices of the stock futures. As the price of